Decentralization and Criminal Gangs in El Salvador

Impacts on Municipal Finances and Local Economic Development

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Outline

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   Why study the impact of gangs on decentralized governance?
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   How decentralization transformed post-conflict politics
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   How gangs disrupt the mechanisms of fiscal federalism
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   Institutional design, fiscal heterogeneity, and measuring gang activity
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Motivation

Research Question

Can decentralization promote local development in countries with a significant presence of non-state armed actors?

We reverse the causal arrow:
How do gangs affect the performance of decentralized institutions?

El Salvador Context

60,000 gang members
operating across nearly all 262 municipalities

~40,000 convicted criminals
deported from the US after the civil war

MS-13 and Barrio 18
two dominant gangs, originating in Los Angeles

Criminal extortion
became a regular facet of everyday life

Post-Civil War Decentralization

How decentralization helped El Salvador emerge from armed conflict (1980–1992)

Political Transformation

El Salvador endured a twelve-year civil war (1980–1992) between armed rebels and a national government dominated by economic elites.

After the conflict, elites continued to control the national government through ARENA, while the rebels created the FMLN party.

Decentralization allowed the FMLN to win elections in a growing number of municipalities, including San Salvador.

Municipalities under FMLN control became meaningful spaces of political opposition vis-à-vis ARENA at the national level.

Democratic Outcomes

Local governments introduced innovative participatory mechanisms — local development councils and open assemblies (cabildos abiertos).

Bi-partisan coordination emerged through COMURES, defending municipal roles vis-à-vis the center.

Local government demonstrated that turnover from one party to another was possible without inciting violence (Bland, 2011).

This transformation laid the foundations for the FMLN's presidential victories in 2009 and 2014, and the practice of ideological alternation in power.

From Rebels to Gangs: A New Challenge

How the post-war gains were undermined by a different non-state armed actor

Decentralization succeeded in transforming a rebel group into a competitive political party

But El Salvador's experience with decentralized governance was subsequently undermined by a non-state armed actor of a very different sort: criminal gangs.

Origins of the gang problem

Gangs (maras) date back to the 1960s, but the problem worsened dramatically when the US deported thousands of convicted criminals after the civil war — including members of MS-13 and Barrio 18 from Los Angeles (Sviatschi, 2022).

Organizational evolution

In response to mano dura policies by both ARENA and FMLN governments, gangs transformed from loose neighborhood federations into hierarchically organized structures with organizational bases inside prisons (Moncada, 2021).

A different causal arrow

Most literature asks how gangs exploit decentralization. We reverse the question: how do gangs undermine the ability of decentralized institutions to function as intended?

The Decentralization Debate in Conflict Settings

Optimistic View

Addresses grievances that led to rebellion — lack of responsiveness, inability to tailor policies to local needs (Bland, 2006; Brinkerhoff, 2011)

Lowers stakes of controlling the central state, reducing incentives to rebel (Bermeo, 2002; Stepan, 2001)

Gives rebel organizations the opportunity to transform into political parties and win local power

El Salvador is a success case: FMLN's transformation from guerrilla to ruling party

Cautionary View

Can exacerbate conflicts if it empowers secessionist parties (Brancati, 2006)

Rebels can penetrate subnational governments and use decentralized resources to enhance legitimacy (Eaton, 2006)

Fragmentation of state security apparatus enables criminal organizations to go unpunished (Rios, 2013; Durán-Martínez, 2018)

Our contribution: gangs disrupt the causal mechanisms through which decentralization is supposed to deliver improved outcomes

How Gangs Disrupt Decentralization

1 Limit Factor Mobility

Gangs impose checkpoints and toll taxes on movement of people, transport, and goods between municipal jurisdictions, obstructing inter-municipal competition (Oates, Tiebout).

2 Depress Own-Source Revenues

Citizens extorted by gangs have fewer resources to pay municipal taxes and fees. Gangs and municipalities compete for the same resource base — gangs typically win.

3 Reduce Spending & Services

Territorial control by gangs limits entry of municipal personnel, hindering public works execution and service delivery. Capital investment is particularly affected.

Downstream Fiscal & Economic Effects

Transfer Dependence

Inability to collect local taxes worsens reliance on central government transfers (FODES), weakening accountability links between local taxpayers and governments.

Service Provision

Gang presence distorts public service mix and reduces overall service levels. Municipalities held captive by gangs have weaker incentives to provide services.

Spillover Effects

Gang activities reduce economic activity not only locally but in neighboring municipalities as well, through restrictions on factor mobility across borders.

Decentralization in El Salvador

Political dimension
Municipal elections allowed FMLN (former rebels) to win local power, eventually leading to presidential victories in 2009 and 2014. Decentralization transformed post-conflict politics.

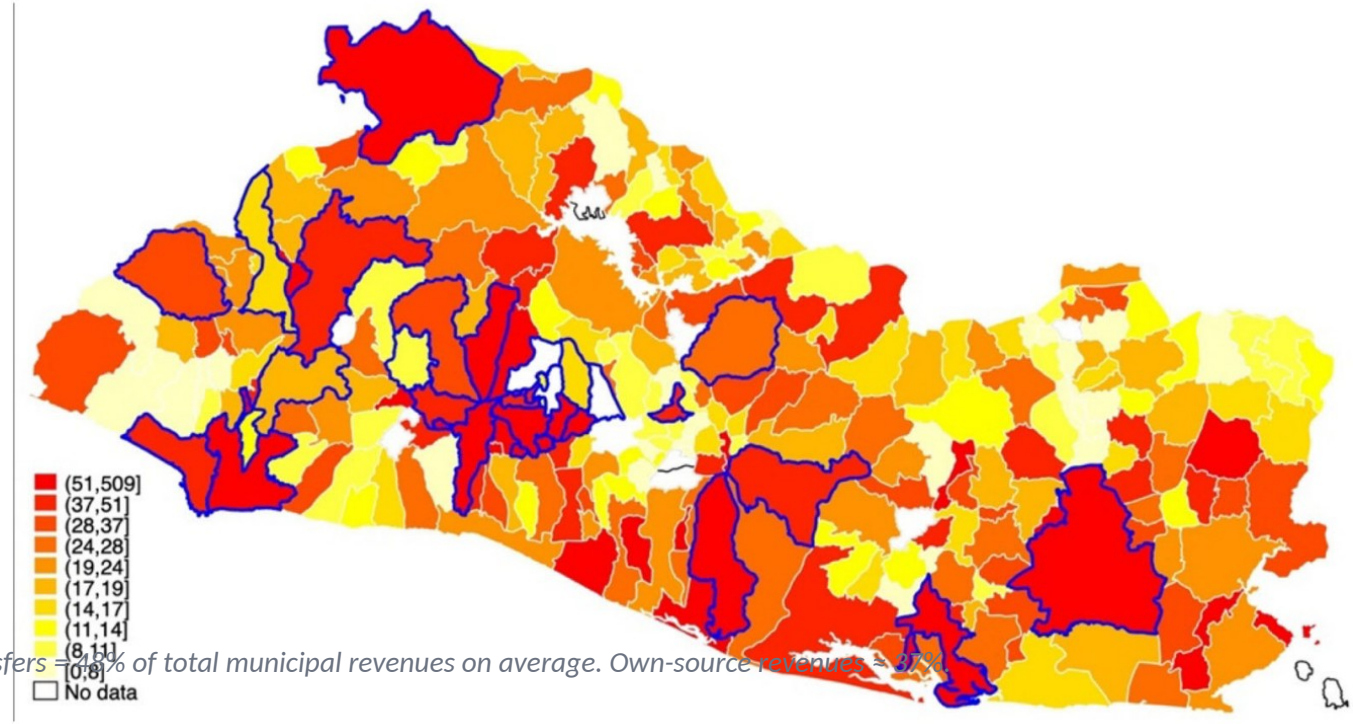
Fiscal dimension
FODES transfers: revenue-sharing fund distributed by population, equity, poverty, and area criteria. 80% must go to capital investment, 20% to operating expenses.

Key constraint
No municipal property tax — unusual in Latin America. Municipalities rely on fee-based taxes on economic activities plus user fees and charges.

262 municipalities
One level of subnational government (until 2023). Large variation in population, economic dynamism, and urbanization across municipalities.

High Transfer Dependence

Sources of Municipal Revenues, 2011–2018



FODES transfers = 48% of total municipal revenues on average. Own-source revenues = 37%

Source: Authors' elaboration based on Portal de Transparencia Fiscal; ISDEM

Large Disparities by Municipality Size

Per capita tax collection and FODES-to-own-revenue ratio, 2011–2018

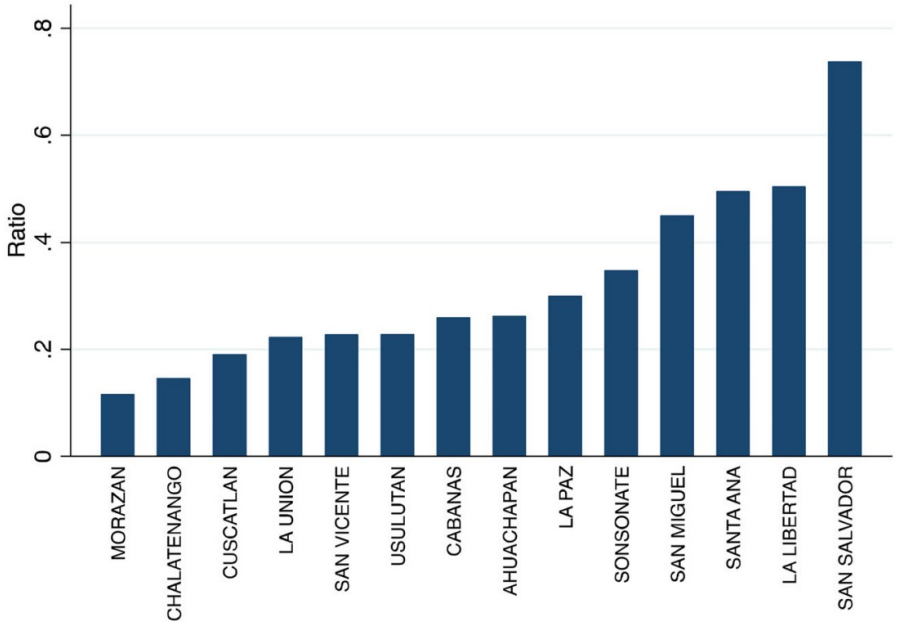
	Small		Medium-sized		Large	
Year	Tax collection PC	Ratio of FODES own revenues	Tax collection PC	Ratio of FODES own revenues	Tax collection PC	Ratio of FODES own revenues
2011	13.8	25.0	27.7	4.2	35.1	1.2
2012	13.9	13.7	29.0	5.1	36.5	1.4
2013	15.7	12.4	31.9	4.7	39.0	1.3
2014	16.6	13.5	31.1	4.5	41.4	1.2
2015	17.1	14.5	33.0	4.5	43.9	1.2
2016	18.4	13.0	35.0	4.2	46.3	1.2
2017	19.2	11.1	34.2	3.8	46.2	1.1
2018	21.5	10.0	39.0	3.5	51.5	1.2

Key: Small municipalities (pop <10K) receive 10x more in FODES transfers than own revenues. Large municipalities (pop >50K) are close to parity.

Source: Authors' elaboration

Budgetary Autonomy Varies Widely

Own-source revenue as share of budget, by department, 2018



Only San Salvador exceeds 60% own-source revenue share. Most departments fall below 30%.

Source: Authors' elaboration based on Portal de Transparencia Fiscal; ISDEM

Gang Presence Across Municipalities

Measurement:
Number of homicides per 1,000 inhabitants attributed to MS-13 (and other gangs) per municipality, capturing both presence and intensity of criminal activity.

Geographic spread:
Between 2010 and 2020, over 9,300 homicides were attributed to gangs across all 14 departments. MS-13 alone accounted for 5,400+ of these.

Key variation:
San Salvador had the highest total gang homicides (2,525) but departments like Cuscatlán (0.30 per 1,000) and La Paz (0.26 per 1,000) had higher per capita rates, reflecting the outsized impact on smaller localities.

Endogeneity strategy:
Gang presence variable lagged one period — current fiscal outcomes are influenced by past gang activity, not contemporaneously determined.

Source: El Salvador National Police Open Data

Methodology: Fiscal Outcomes

Panel data model with random effects
258 municipalities, 2011–2018 (pre-COVID)

Dependent variables: Own-source revenue p.c., total expenditure p.c., current vs. capital expenditure, public service provision (waste collection), municipal debt

Key independent variable: MS-13 homicides per 1,000 inhabitants (lagged one period)

Controls: Urban population, density, household income, energy consumption, capacity building, time dummies

Heterogeneous effects: Sample split by municipality size — small (<10K), medium (10K–50K), large (>50K) — reflecting the positive relationship between city size and crime incidence

Methodology: Economic Activity & Spillovers

Spatial autoregressive model (GS2LS estimator)
Following Kelejian & Prucha (1998)

Dependent variable: Energy consumption (kWh) as a proxy for economic activity

Three spatial interactions via contiguity matrix W:
(1) Endogenous: effect of neighbors' economic activity on local activity
(2) Exogenous: effect of gang presence in neighbors on local activity — the key spillover test
(3) Error spatial structure: unobserved spatially correlated variables

Controls: Nighttime luminosity, urban population, household income, per capita expenditure, aged population share

Gangs Reduce Own-Source Revenues

Effect of MS-13 violence on per capita own revenue

	(1) All municipalities	(2) Population < 10k	(3) 10k < Population < 50k	(4) Population > 50k
Maras	−1.136*	−0.426	−5.613*	−22.287
	(0.829)	(0.623)	(2.864)	(17.779)
Kw_mm	0.217	0.133*	0.853*	0.148**
	(0.125)	(0.179)	(0.435)	(0.054)
UrbanPopul	−0.000	0.000	0.000	0.000
	(0.000)	(0.000)	(0.000)	(0.000)
Transf_pc	−0.130*	−0.015	−0.095	0.740
	(0.049)	(0.012)	(0.092)	(0.627)
Density	−0.016	−0.056	0.245	6.105
	(0.129)	(0.161)	(0.982)	(7.532)
Garbage_sv	2.204	0.451	10.871***	17.144
	(1.971)	(1.341)	(3.853)	(19.793)
year = 2012	2.151	−1.163	1.669	−3.070
	(1.277)	(2.761)	(1.841)	(3.724)
year = 2013	3.877*	−0.972	1.200	0.012
	(1.563)	(2.986)	(1.455)	(4.234)
year = 2014	6.029***	0.103	4.486	−1.869
	(1.800)	(3.136)	(2.769)	(5.912)
year = 2015	8.008***	1.394	6.095	0.774
	(1.979)	(3.065)	(3.203)	(6.177)
year = 2016	10.145***	1.122	9.722*	3.307
	(2.398)	(3.072)	(3.891)	(7.078)
year = 2017	10.681***	2.007	9.856**	4.288
	(2.202)	(3.014)	(3.568)	(6.013)
year = 2018	13.265***	3.964	10.250**	9.977
	(2.655)	(3.241)	(3.588)	(8.303)
Constant	27.078***	15.305***	9.079	−5.850
	(5.487)	(3.172)	(7.049)	(26.326)
Observations	1308	465	646	197

Standard errors in parentheses.
Robust standard errors in parentheses.
*$p < 0.05$.
**$p < 0.01$.
***$p < 0.001$.

Key Findings

All municipalities: +1 homicide per 1,000 → –US$1.1 p.c. revenue

Medium municipalities (10K–50K): Largest impact at –US$5.6 p.c. revenue

Small municipalities (<10K): No significant effect — already highly dependent on FODES

Large municipalities (>50K): No significant effect — diversified economies, greater territorial size allows coexistence

*Note: Gang variable lagged one year. Robust standard errors. * p<0.05, ** p<0.01, *** p<0.001.*

Source: Authors' elaboration

Gangs Reduce Municipal Spending

Effect of MS-13 on per capita expenditure

	All municipalities	Population < 10k	10k < Population < 50k	Population > 50k
Maras	−17.694***	−20.112**	−0.489	−38.447
	(6.347)	(12.785)	(7.180)	(29.544)
Kw	−0.006	−1.788*	0.137	−0.033
	(0.084)	(1.590)	(0.00)	(0.020)
UrbanPopul	−0.000***	0.001	−0.000	−0.000**
	(0.000)	(0.001)	(0.000)	(0.000)
Total_revenue_pc	1.077***	2.454***	0.891***	0.675***
	(0.210)	(0.611)	(0.218)	(0.184)
Density	8.661*	7.798*	−4.102	−24.177
	(2.687)	(2.425)	(2.848)	(16.557)
year = 2012	−6.980	−10.246	−6.819	6.558
	(3.843)	(9.701)	(3.643)	(3.620)
year = 2013	−5.096	−10.290	−2.824	5.885
	(4.470)	(10.244)	(4.646)	(4.177)
year = 2014	15.228**	18.975	12.621**	11.848
	(4.676)	(12.534)	(4.333)	(7.225)
year = 2015	−1.229	−12.911	0.766	1.515
	(3.937)	(10.887)	(4.687)	(3.756)
year = 2016	−14.906***	−37.984***	−8.827	−0.054
	(3.937)	(11.006)	(4.741)	(6.630)
year = 2017	−2.615	−20.951	2.251	1.650
	(4.001)	(13.647)	(4.994)	(5.471)
year = 2018	−14.213**	−46.045***	−2.254	−7.461
	(4.597)	(12.693)	(5.082)	(6.557)
Constant	85.488***	50.137	84.611***	35.412***
	(9.396)	(29.655)	(5.641)	(4.288)
Observations	1331	479	655	197

Standard errors in parentheses.
Robust standard errors in parentheses.
*$p < 0.05$.
**$p < 0.01$.
***$p < 0.001$.

Key Findings

Overall: +1 homicide per 1,000 → –US$17.9 p.c. spending

Small municipalities (<10K): Hardest hit at –US$20.1 p.c.

Capital spending most affected: –US$19.7 vs. –US$2.9 for current spending

Mechanism: Gang territorial control hinders public works, escalates costs, limits personnel access

*Note: Gang variable lagged one year. Robust standard errors. * p<0.05, ** p<0.01, *** p<0.001.*

Source: Authors' elaboration

Capital Spending Hit Hardest

Effect of MS-13 on current vs. capital expenditures by municipality size

	All municipalities	Population < 10k	10k < Population < 50k	Population > 50k	All municipalities	Population < 10k	10k < Population < 50k	Population > 50k
Maras	−2.866**	−3.884**	2.426	−15.151	−19.702***	−16.949*	−5.381	−9.386
	(1.058)	(1.193)	(2.328)	(13.248)	(4.639)	(7.578)	(7.044)	(26.668)
Kw	0.076***	−0.587	0.133***	0.008	−0.060	−1.388	−0.111	−0.028
	(0.017)	(0.324)	(0.036)	(0.013)	(0.058)	(0.940)	(0.088)	(0.024)
Urban_popul	−0.000***	−0.000	0.000	−0.000	−0.000***	0.001	−0.001***	−0.000***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.001)	(0.000)	(0.000)
Transf_pc	0.557***	0.367***	0.526***	0.764***	0.352***	1.884***	0.133	0.429***
	(0.025)	(0.041)	(0.040)	(0.036)	(0.072)	(0.189)	(0.068)	(0.071)
Density	0.625**	0.580*	−0.315	−6.328	6.150***	7.117***	−2.580	−13.676
	(0.230)	(0.237)	(0.829)	(5.975)	(1.032)	(1.470)	(2.560)	(12.242)
year = 2012	3.472***	3.617**	3.831***	2.436	−9.808**	−13.757	−10.330**	4.255
	(0.840)	(1.304)	(1.151)	(2.316)	(3.686)	(8.657)	(3.649)	(4.766)
year = 2013	6.006***	6.342***	6.253***	3.705	−9.851**	−16.397	−8.229*	2.579
	(0.865)	(1.382)	(1.180)	(2.328)	(3.778)	(8.988)	(3.672)	(4.790)
year = 2014	7.682***	10.061***	7.777***	3.264	9.239*	9.893	6.216	9.025
	(0.874)	(1.394)	(1.195)	(2.333)	(3.789)	(9.021)	(3.685)	(4.797)
year = 2015	7.099***	10.290***	7.174***	0.971	−6.083	−21.976*	−4.612	1.138
	(0.885)	(1.400)	(1.241)	(2.418)	(3.797)	(8.948)	(3.736)	(4.957)
year = 2016	5.153***	7.172***	4.629***	3.903	−16.436***	−43.127***	−10.737**	−3.314
	(0.933)	(1.478)	(1.363)	(2.680)	(3.958)	(9.303)	(3.958)	(5.462)
year = 2017	7.660***	9.818***	6.843***	6.867*	−6.916	−27.692**	−1.818	−4.680
	(0.976)	(1.618)	(1.418)	(2.799)	(4.137)	(10.065)	(4.101)	(5.696)
year = 2018	7.554***	9.008***	8.392***	2.947	−17.908***	−51.450***	−7.456	−9.421
	(1.010)	(1.679)	(1.391)	(2.683)	(4.218)	(10.409)	(3.938)	(5.464)
Constant	23.018***	35.489***	19.515***	13.220***	70.934***	25.025*	73.683***	24.461***
	(1.604)	(2.921)	(2.808)	(3.021)	(4.949)	(11.479)	(4.093)	(5.795)
sigma_u								
Observations	1331	479	655	197	1331	479	655	197

Standard errors in parentheses

Source: Authors' elaboration

Service Provision Falls, Debt Unaffected

Effect of MS-13 on public waste collection and municipal debt

	All municipalities	Population < 10k	10k < Population < 50k	Population > 50k
Maras	−0.002*	0.004	−0.002*	0.000
	(0.001)	(0.006)	(0.001)	(0.000)
Urban_popul	0.000***	0.000	0.000**	0.000*
	(0.000)	(0.000)	(0.000)	(0.000)
Household_income	0.000***	0.000**	0.000***	−0.000
	(0.000)	(0.000)	(0.000)	(0.000)
PC_own_rev	0.000	−0.000	0.000	0.000
	(0.000)	(0.000)	(0.000)	(0.001)
Density	0.001	0.000	0.002	−0.012
		(0.006)	(0.010)	
	(0.006)			(0.028)
MunCapacBuild	0.025	0.049*	−0.010	−0.032
	(0.015)	(0.023)	(0.020)	(0.020)
year = 2011	−0.014	−0.031*	−0.006	0.011
	(0.010)	(0.016)	(0.015)	(0.009)
year = 2012	0.002	0.023	−0.018	0.009
	(0.011)	(0.021)	(0.013)	(0.009)
year = 2013	0.006	0.029	−0.009	0.016
	(0.018)	(0.038)	(0.021)	(0.016)
year = 2014	0.016	0.029	0.006	0.026*
	(0.019)	(0.041)	(0.023)	(0.012)
year = 2015	0.024	0.046	0.004	0.020
	(0.019)	(0.038)	(0.023)	(0.013)
year = 2016	0.041*	0.089*	0.012	0.007
	(0.020)	(0.041)	(0.024)	(0.018)
year = 2017	0.025	0.072	−0.005	0.008
	(0.021)	(0.045)	(0.026)	(0.015)
year = 2018	0.034	0.086	0.006	0.017
	(0.023)	(0.047)	(0.026)	(0.014)
Constant	0.194***	0.205**	0.085*	0.517***
	(0.042)	(0.070)	(0.037)	(0.059)
Observations	1391	520	662	209

Standard errors in parentheses.
Robust standard errors in parentheses.
*$p < 0.05$.
**$p < 0.01$.
***$p < 0.001$.

Key Findings

Service provision (waste collection):
Significant negative effect in medium-sized municipalities. Coverage drops 0.2% per additional homicide/1,000.

Municipal debt:
No significant impact of gang presence on municipal borrowing across any size category.

Source: Authors' elaboration

Economic Activity Declines — With Spillovers

Impact of MS-13 on electricity consumption (proxy for economic activity)

	kWh
MaraSalva	−3.107**
	(0.996)
luminosity	0.013***
	(0.001)
PobUrb	0.000
	(0.000)
ingfa	0.059**
	(0.020)
gasto_pc	−0.005
	(0.011)
agedpopulation	143861
	(87197.9)
Constant	−51.824***
	(13.071)
Wma	
MaraSalva	−5.250*
	(2.149)
kw_mm	0.074
	(0.081)
All_gangs	
Observations	144

Standard errors in parentheses.
Robust standard errors in parentheses.
*$p < 0.05$.
**$p < 0.01$.
***$p < 0.001$.

-3.1M kWh

reduction in local electricity consumption per gang homicide

≈ 10% of average annual municipal consumption

-5.2M kWh

spillover reduction in neighboring municipalities

Spillover effect is larger than the direct effect

Source: Authors' elaboration

Summary of Results

Outcome	All Municipalities	Small (<10K)	Medium (10K–50K)	Large (>50K)
Own-source revenue p.c.	**–US$1.1***	n.s.	**–US$5.6***	n.s.
Total expenditure p.c.	**–US$17.9*****	**–US$20.1****	n.s.	n.s.
Capital expenditure p.c.	**–US$19.7*****	**–US$16.9***	n.s.	n.s.
Current expenditure p.c.	**–US$2.9****	**–US$3.9****	n.s.	n.s.
Service provision (waste)	**–0.2%***	n.s.	**–0.2%***	n.s.
Economic activity (kWh)	**–3.1M****	—	—	—
Spillover (neighbors kWh)	**–5.2M***	—	—	—

n.s. = not statistically significant. Effects per 1 additional homicide per 1,000 inhabitants. — = not estimated separately by size.

Source: Authors' elaboration

Discussion: A Parasitic Relationship

Contra the "symbiotic" view of gangs and the state:
Our results depart from recent literature (Blattman et al., 2021; Lessing, 2021) that emphasizes complementary relationships between criminal organizations and the state. Instead, the relationship is parasitic: gangs like MS-13 engage in such extensive extortion that they hollow out municipal finances.

Firms include extortion as a cost of doing business:
The extent and regularity of extortion suggests that firms may actually be including gang payments as part of their operating costs (Bueno, 2022), crowding out their capacity to pay municipal levies.

Households cannot "vote with their feet":
Extorted households lack the financial resources to relocate, and face the risk of moving to another gang-affected municipality. This immobility magnifies negative spillovers in micro-regions (Amaya & D'Aubuisson, 2022).

Gang presence restricts local officials:
The presence of a strong informal enforcer sways citizens and firms to comply with gang demands instead of formal municipal levies and fees (Di Cataldo & Mastrorocco, 2021).

Conclusions

1. Gangs prevent decentralization from delivering on its theoretical promise. The relationship is parasitic: extensive extortion hollows out municipal finances.

2. The revenue effect is concentrated in medium-sized municipalities, while the expenditure effect hits small municipalities hardest. Large municipalities are more resilient — their greater territorial size allows coexistence.

3. Capital spending is far more affected than current spending (–US$19.7 vs. –US$2.9), reflecting gang territorial control that hinders public works and limits entry of municipal personnel.

4. Gang activities generate negative spillover effects on economic activity in neighboring municipalities. The more complex the gang organization, the greater the negative spillover.

5. Cross-municipal variation in gang impacts should inform more differentiated policy responses from the central state, not one-size-fits-all recentralization.

The Policy Response: Security Crackdown

The Bukele administration since 2019

State of exception since March 2022

Over 85,000 suspected gang members arrested by late 2024. Civil rights suspended under emergency powers. Mass trials formalized by law.

Homicide rate plummeted

From 38 per 100,000 (2019) to 1.9 per 100,000 (2024) — one of the lowest rates in the Americas. Gang territorial control has been largely dismantled.

Recentralization with militarized control

Iron fist policies have arguably brought relief and security to many municipalities that lived in fear of extortion. But the key question is whether this alone resolves all challenges.

The Policy Response: Fiscal Recentralization

FODES slashed from 10% to 1.5% of state revenues

An 85% reduction in the main intergovernmental transfer mechanism. Weakened the financial pillar of decentralization.

New central agency: Dirección de Obras Municipales (DOM)

Municipalities forced to seek central government permission to invest local revenues. Mayors can request projects but control neither funds nor implementation.

262 municipalities reduced to 44

Territorial restructuring approved in 2023, effective May 2024 — carried out without technical study. Eliminated many offices held by opposition.

ISDEM eliminated

The Institute for Municipal Development, which provided technical support and capacity building, was dissolved.

A Window of Opportunity

Rethinking Decentralization Now That the Security Constraint Is Relaxed

The gang constraint has been relaxed

Resolving the security challenges created by gangs presents El Salvador with an opportunity for a new beginning in decentralization. The binding constraint on municipal fiscal performance has been substantially removed.

Reconstruct decentralization, not abandon it

Instead of giving up on decentralization — which played such an important role in transforming post-conflict El Salvador — a viable alternative is to refine the decentralization framework and more fully exploit complementarities with the national government.

Modernize the municipal tax code

Progressively introduce an urban property tax, which may be less subject to extortion than existing fee-based taxes. El Salvador remains unusual in Latin America in denying municipalities this revenue source.

Revise the revenue-sharing formula

Redesign FODES to aid the medium-sized municipalities that are especially vulnerable to extortion. Cross-municipal variation in gang impacts should inform differentiated transfer mechanisms.

Insulate the DOM from political pressure

The Municipal Works Directorate should use technocratic criteria in responding to municipal investment proposals, rather than serving as a tool for centralizing discretionary power.

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Thank You

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